

Multiple Choice (10 marks)

1. Which of the following is a consequence of a protective tariff on imported steel?
 - (a) Net exports fall.
 - (b) Income is transferred from domestic steel consumers to domestic steel producers.
 - (c) Allocative efficiency is improved.
 - (d) Income is transferred from domestic steel to foreign steel producers.
2. Corn is exchanged in a competitive market. Which of the following definitely increases the equilibrium price of corn?
 - (a) Both supply and demand shift rightward.
 - (b) Both supply and demand shift leftward.
 - (c) Supply shifts to the right; demand shifts to the left.
 - (d) Supply shifts to the left; demand shifts to the right.
3. If prices rise in the United States relative to other countries then
 - (a) the value of the dollar will tend to appreciate.
 - (b) the value of the dollar will tend to depreciate.
 - (c) exchange rates will be affected but not the value of the dollar.
 - (d) the exchange rate will not be affected.
4. Which of the following statements is accurate in regard to a perfectly competitive firm?
 - (a) Demand is downward-sloping.
 - (b) The demand curve lies above the marginal revenue curve.
 - (c) Price is determined by the equilibrium in the entire market.
 - (d) Average revenue differs from price.
5. If corn is produced in a perfectly competitive market and the government placed a price ceiling above equilibrium, which of the following would be true?
 - (a) There would be no change in the amount of corn demanded or supplied.
 - (b) There would be a shortage created of corn.
 - (c) There would be a surplus created of corn.
 - (d) The producers of corn would lose revenue due to the decreased price.

True / False (10 marks)

Answer True or False

6. True or False: In a situation where demand exceeds supply, the quantity supplied will automatically decrease to match demand.
7. True or False: An increase in the standard of living indicates that output has grown more than the population.
8. True or False: An increasing national debt decreases demand for U.S. dollars, leading to an appreciation of the dollar's value.
9. True or False: Rising prices generally lead to an increase in household incomes, allowing consumers to afford more goods and services.
10. True or False: National income is always greater than GDP because it includes all forms of income without adjustments.

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

11. Analyze the costs of a Big Mac in the United States, England, Mexico, and China using exchange rates. Which country has the highest cost for a Big Mac, and why?
12. Discuss how the Federal Reserve could use bond purchases as a policy tool to address an economic recession, and analyze the potential effects on the economy.

End of Paper